

returns their executors filed after the subjects passed away. He studied a national sample of estate tax returns. Then he matched each of these with their respective income tax returns from previous years. Why all this contrasting? Mr. Steuerle wanted to study the correlation between realized income as documented in income tax returns and the actual net worth of each subject in the sample. Of special interest was the relationship between realized income generated from investments and their actual market value.

Why would a scholar who works for our treasury department spend so much time conducting a study like this? We consider the staff of the IRS a clever bunch. They study their target market. And they lust for its wealth. They want to know how many affluent people generate so few dollars of realized income. Since owners of closely held businesses are especially adept at this strategy, Mr. Steuerle selected for study those estates in which the value of the closely held business(es) exceeded 65 percent of the estates.

Here are some of the findings of Mr. Steuerle's study:

- ◆ The income realized from the assets of closely held businesses was only 1.15 percent of the appraised value of the assets. Note that even this small percentage is likely to be biased in the upward direction, since there are estate tax advantages for heirs and executors who provide conservative appraisals.

- ◆ The total income realized from all assets and all salary, wages, and income combined was only 3.66 percent of the value of all assets.

What do these results tell you about the affluent? They suggest that a business owner who is worth, say, \$2 million on average has an annual realized income of only \$73,200, or 3.66 percent of \$2 million. Could you live on \$73,200 today and still invest a minimum of 15 percent each year? No, it's not easy. But it's not easy being financially dependent, either.

FINANCIAL INDEPENDENCE

We once asked a high-income/low-net worth corporate manager (we will refer to him as Mr. Rodney) a simple question: